

Periodic Labour Force Survey (PLFS) - Survey Design & Estimation

GOVERNMENT OF INDIA

MINISTRY OF STATISTICS AND PROGRAMME IMPLEMENTATION (MoSPI)

NATIONAL STATISTICAL OFFICE (NSO)

PERIODIC LABOUR FORCE SURVEY (PLFS)

SAMPLING METHODOLOGY, ESTIMATION PROCEDURE AND CONCEPTS

1. Background and Survey Design

The Periodic Labour Force Survey (PLFS) was launched by the National Statistical Office (NSO) in April 2017 to measure employment and unemployment indicators at frequent intervals.

A rotational panel sampling design is used in urban areas, while in rural areas, an independent sample is surveyed every year.

2. Sampling Stages

The sampling frame follows a Stratified Multi-Stage Design:

- First Stage Units (FSUs):
 - Rural Areas: Census villages (as per Population Census 2011).
 - Urban Areas: Urban Frame Survey (UFS) blocks.
- Selection of FSUs:
 - In both rural and urban sectors, FSUs are selected with Probability Proportional to Size with Replacement (PPSWR) or systematic circular sampling, where size is the population of the village/UFS block.
- Second Stage Units (SSUs):
 - Households listed within selected FSUs. In each selected FSU, 8 sample households are selected using circular systematic sampling after stratifying households into three broad economic categories based on consumer expenditure and land possession.

3. Measurement Approaches and Activity Status

PLFS classifies individuals into three broad activity categories:

- (a) Working / Employed (engaged in economic activity)
- (b) Not working but seeking or available for work (Unemployed)
- (c) Neither working nor available for work (Out of Labour Force - e.g. students, homemakers, retired)

Two key measurement approaches are utilized:

1. Usual Status (ps+ss) Approach:

- Reference period is 365 days preceding the date of survey.

- Usual Principal Status (UPS): The activity status on which a person spent relatively long time (major time criterion) during the 365 days.
- Subsidiary Economic Status (SS): Any subsidiary economic activity pursued for 30 days or more during the reference year.
- Combined (ps+ss) reflects the persistent, long-term employment status.

2. Current Weekly Status (CWS) Approach:

- Reference period is the 7 days preceding the date of survey.
- A person is considered employed if they worked for at least 1 hour on any day during the 7-day reference week.
- CWS captures short-term, seasonal, and intermittent labour fluctuations.

4. Key Headline Labour Indicators

- Labour Force Participation Rate (LFPR): Percentage of persons in the labour force (employed + unemployed) in the total population.

$$\text{LFPR} = \frac{\text{Employed} + \text{Unemployed}}{\text{Total Population}} \times 100$$

- Worker Population Ratio (WPR): Percentage of employed persons in the total population.

$$\text{WPR} = \frac{\text{Employed}}{\text{Total Population}} \times 100$$

- Unemployment Rate (UR): Percentage of unemployed persons in the labour force.

$$\text{UR} = \frac{\text{Unemployed}}{\text{Employed} + \text{Unemployed}} \times 100$$